OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

I. 2. b. 7.

CANADA

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

ARCHIVES - RÉFÉRENCES
— DOC PRÊTÉ —
RETOUR BUREAU 706

FEB 1968

BASIC STATISTICS OF CANADA

THE LAND

Area (thousand sq. km.)	9 976
Agricultural area (% of the total area)	7.0

Population of major cities including their metropolitan areas (June 1965):

Montreal	2 321 000
Toronto	2 066 000

THE PEOPLE

Population (Oct. 1967)	20 548 000
Number of inhabitants per sq km.	2
Population, annual net natural increase (average 1961-66)	299 167
Net rate of annual increase per 1 000 inhabitants (average 1961-66)	15.8
Civilian labour force (Oct. 1967)	7 691 000
Employment in agriculture (Oct. 1967)	603 000
Immigration (annual average 1961-66)	115 833
Average annual increase in civilian labour force (1961-66 %)	2.6

PRODUCTION

GNP in 1966 (millions of Canadian dollars)	57 738
GNP per head (Canadian dollars)	2 901
Gross fixed investment (private and public) per head (Canadian dollars)	749
Gross fixed investment (private and public) as % of GNP	25.8

Origin of Gross Domestic Product (1966 % of total):

Agriculture, forestry and fishing	7.1
Mining and quarrying	4.0
Manufacturing	25.8
Construction	6.3
Public administration	6.8
Other	50.0

THE GOVERNMENT

Government current expenditure on goods and services (average 1961-66 % of GNP)	14.6
Government gross fixed capital formation (average 1961-66 % of GNP)	4.2
Federal Government current revenue (average 1961-66 % of GNP)	15.9
Federal direct and guaranteed debt % of current expenditure (average 1961-66 %)	297.7

Composition of Parliament (Number of seats):

	House of Commons	Senate
Liberals	131	59
Conservatives	96	29
Ralliement Creditiste	8	—
Social Credit	5	—
New Democratic	21	—
Independents	3	3
Vacant	1	11

Last election: November 1965.

LIVING STANDARDS

Food consumption, calories per head per day, 1964-65	3 090
Number of television receivers in use per 1 000 inhabitants (1965)	271
Number of passenger cars in use per 1 000 inhabitants (1965)	270
Number of telephones per 1 000 inhabitants (1965)	380
Average hourly earnings in manufacturing (Canadian dollars, 1966)	2.25

FOREIGN TRADE

Exports:

Exports of goods and services as % of GNP (average 1961-66)	21.5
Main exports 1966 (% of commodity exports):	
Wheat	10.5
Newsprint	9.6
Lumber	4.7
Woodpulp	5.2
Non-ferrous metals and alloys	9.7
Ores, concentrates and scrap	9.3
Motor vehicles	9.9
Machinery	3.9
Main customers 1966 (% of commodity exports):	
United States	60.4
United Kingdom	11.0
European Economic Community	6.3

Imports:

Imports of goods and services as % of GNP (average 1961-66)	23.3
Main imports 1966 (% of commodity imports):	
Industrial materials	24.9
Motor vehicles and parts	16.5
Producers' equipment	25.5
Consumer goods	16.7
Main suppliers 1966 (% of commodity imports):	
United States	72.3
United Kingdom	6.5
European Economic Community	5.6

THE CURRENCY

Monetary unit: Canadian dollar.

Currency units per US dollar (fixed rate introduced May 1962): 1.081.

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CANADA

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

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CONTENTS

Introduction **5**

I The Role of Economic Policy **5**

The United States and Canada 5

Recent Policy Experience 9

(a) *Mid* 1965 *to end* 1966. *Inflationary Pressures* 9

(b) *The first half of* 1967. *Weaker demand tendencies at home* 11

(c) *Lessons for the Future* 12

II Current Situation and Prospects **20**

Monetary and Fiscal Development 23

Prospects 29

III Conclusions **31**

Statistical Annex **35**

LIST OF TABLES

(a) IN TEXT

1	The importance of the United States in Canadian Foreign Trade	7
2	Ownership and Control of Canadian Industries by United States Residents as a Percentage of the Total	7
3	Current Account Balance by Area	8
4	Mortgage Loans — Approved by Lending Institutions	13
5	Prices	15
6	Corporate Profits	16
7	Wages and Salaries	16
8	Balance of Payments. Current Account	22
9	Balance of Payments. Capital Account	24
10	Federal Revenue and Expenditure	26
11	The Federal Budget for Fiscal Years 1965-68	28

(b) STATISTICAL ANNEX

A	Gross National Product and Expenditure	35
B	Industrial Production, Employment and other Business Indicators	36
C	Prices, Wages and Finance	38
D	Government Revenue and Expenditure	40
E	Balance of Payments 1960-1967	42

INTRODUCTION

Between the beginning of the present expansion in 1961 and 1965, the real gross national product increased at an average annual rate of 6 per cent. With some slack in the economy during most of the period, economic policy was directed at stimulating demand. By the end of 1965 this slack had virtually all been taken up. As in the United States, the last two years have seen the trend of business conditions changing quickly, calling for policies at times to restrict and at times to stimulate the growth of demand, to keep the advance as far as possible in line with capacity. Part I of the present Survey reviews recent policy experience and possible lessons for the future. Part II considers current and prospective trends in the domestic economy and the balance of payments, suggesting that the need to achieve better price and cost stability will be a major problem for economic policy in 1968. Part III summarizes the main policy conclusions.

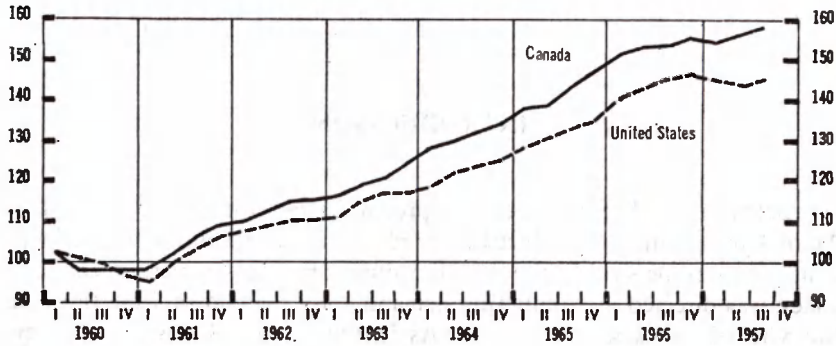
I THE ROLE OF ECONOMIC POLICY

When discussing the role of economic policy it may be appropriate to recall the close and important relationship between the Canadian economy and that of the United States. All countries are to some extent influenced by trends abroad. But the position of Canada may be somewhat special because foreign trade accounts for a higher proportion of GNP than in many other countries, and foreign influence is very much dominated by trends in one single country, the United States.

The United States and Canada

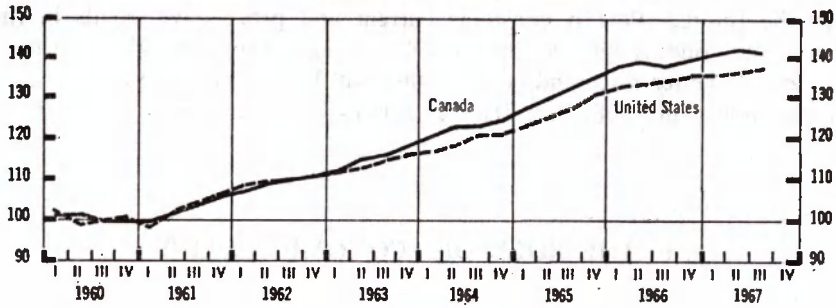
The similarity between developments in Canada and the United States appears from Diagram 1. It is seen that the movements of some important economic indicators, such as GNP and industrial production, have been very much the same in the two countries. There are several reasons for this.

Diagram 1 **Economic Indicators in Canada and the United States**
1960 = 100 (Seasonally adjusted)
Industrial Production



Source: Main Economic Indicators (OECD).

Gross National Product in Constant Prices



Source: Dominion Bureau of Statistics, Survey of Current Business (US).

The economies have been to a large extent complementary — the US relying on Canada for much of its needs of resource products, and Canada on the United States for imports of manufactured goods. Trade between the two countries is very large. Canada exports nearly one-fifth of its GNP; about 60 per cent of the total is taken by the United States. About 70 per cent of exports consists of resource products. The proportion has declined in recent years, reflecting inter alia active official policies to increase the competitiveness of the country's manufacturing industry. The share of exports accounted for by manufacturing has increased from 15 per cent in 1950 to 28 per cent in 1966. There has been a particularly sharp increase in the last few years, reflected notably in the changing pattern of Canadian exports to the United States, in part helped by the agreement covering trade in automotive products.

Table 1 The Importance of the United States in Canadian Foreign Trade

Exports and imports
to and from US expressed as percentage of total exports and imports

	1956	1966
Total exports	59.2	60.4
Farm and fish products	27.0	19.7
Forest products	82.8	76.8
Metals and minerals	62.0	60.6
Chemicals and fertilizers	46.4	56.9
Other manufactured goods and miscellaneous	54.2	76.3
Exports of foreign products	82.2	81.2
Total imports	72.6	71.3

Source: Bank of Canada Statistical Summary.

American capital and "know-how" have played a major role in financing and developing Canadian industry. At the end of 1963, the latest year for which data are available, United States control of manufacturing industry in Canada amounted to as much as 46 per cent and

Table 2 Ownership and Control of Canadian Industries by United States Residents as a Percentage of the Total

	1954	1960	1961	1962	1963
Ownership:					
Manufacturing	37	41	43	43	44
Petroleum and natural gas	57	53	54	53	54
Mining and smelting	47	52	54	55	54
Railways	15	9	9	9	9
Other utilities	12	12	11	11	12
Totals of above industries and merchandising	25	27	27	28	28
Control:					
Manufacturing	42	44	45	45	46
Petroleum and natural gas	67	64	63	63	62
Mining and smelting	49	53	52	52	52
Railways	2	2	2	2	2
Other utilities	7	4	4	4	4
Total of above industries and merchandising	24	26	26	27	27

Source: The Canadian Balance of International Payments, 1963, 1964 and 1965 and International Investment Position (D.B.S. 1967).

United States ownership to 44 per cent (Table 2) and the proportions have been growing steadily. The greater part of US investment is in direct form, but other forms, such as porfolio and investment in Canadian government and municipal bonds, have also been increasing.

One of the results of the US-Canadian relationship is a large deficit on current account in the Canadian balance of payments with the United States. This is offset to a varying but normally significant extent by a partly related net inflow of capital from the United States. The current balance vis-à-vis the rest of the world has typically shown a surplus (Table 3).

Financial markets are closely integrated. There is full currency convertibility between Canada and the United States, and a highly developed set of institutional links. In addition to a steady flow of funds from the United States to Canada for direct investment and subscriptions to new issues of securities, there is a regular, and usually fairly evenly-balanced, two-way traffiic in outstanding securities which in some years has exceeded $1 billion in either direction; in recent years, however, this has led to an appreciable capital outflow. In these circumstances, monetary conditions in Canada are strongly influenced by conditions in the United States. New issues of Canadian securities are exempt from the US Interest Equalisation Tax, but the Canadian anthorities have agreed not to use this exemption in order to amass reserves.

Moreover, there are numerous lesser ways in which US conditions influence Canadian developments. Higher incomes in the US, for example, generate pressures for the same levels of income in Canada, particularly in industries, such as automobiles, which are largely under the ownership of US companies and covered by the same trade unions.

In these conditions the business climate and the rhythm of economic life in Canada are necessarily strongly influenced by trends in the United States, and it is sometimes difficult for Canadian policy to overcome these

Table 3 **Current Account Balance by Area**
$ million

	Total	United States	United Kingdom	Other countries
1964	–424	–1 635	605	606
1965	–1 130	–1 937	505	302
1966	–1 137	–2 017	421	459
1967 1st nine months[1]	–377	–1 050	339	334

1 Not seasonally adjusted.
Source: Canadian Balance of International Payments.

influences. A substantially more expansionary situation in Canada that included lower interest rates than in the US could rather quickly have an adverse effect on the Canadian balance of payments. This does not mean that Canadian policies are unimportant. Under full employment conditions, as in the last two years, with the trend of business conditions liable to quick changes, demand management policy has an important role to play in maintaining an appropriate rate of expansion, both from the point of view of resource utilisation and the need to maintain relatively stable prices and costs. And Canadian policies can have an important influence on the supply side, increasing the mobility of labour, stimulating rationalisation, and strengthening the competitive forces in the economy.

Recent Policy Experience

Demand management policy has been very active over the last two years, responding promptly to changes in demand conditions. Normally the timing of changes in business trends in Canada follows closely or even precedes slightly developments in the United States. This has continued to be the case although in some respects over the last couple of years, events in Canada seem to have been running ahead of trends in the United States. Nevertheless, from the point of view of policy-making, two periods can be distinguished, as in the United States—mid-1965 to the end of 1966, and the first half of 1967.

(a) *Mid-1965 to end-1966. Inflationary Pressures*

At the time of the annual budget in March 1965, the prospects for continued economic expansion were good, but the rate of growth was expected to slow down from the high rate achieved in 1964. In particular, the rise in personal consumption was expected to be slower, and a harvest nearer to the long-term average was assumed, after the above-average crop in 1964. With capacity growing fast (about 5 per cent a year), and some remaining slack in the economy, the basic personal income tax payable was reduced by 10 per cent, adding about $ 300 million at annual rate to personal incomes, in order to maintain an adequate rate of expansion. Monetary policy remained relatively easy.

As 1965 progressed, however, it became clear that the expansion of the economy was proceeding faster than anticipated, influenced by developments in the United States, where the effects of the Vietman war on demand were being increasingly felt. The emphasis of fiscal and monetary policy was promptly changed. In the late summer of 1965 some federal construction projects were postponed to ease the strains on the building and

construction industry. In the monetary field, with the strong demand for credit continuing, the pressure on bank reserves increased as the year progressed, and interest rates were allowed to rise. In December, Bank rate was increased by ½ per cent to 4 ¾ per cent after the Federal Reserve rediscount rate had been increased.

The measures taken, however, were not sufficient to prevent an excessive increase in demand; between the second quarter of 1965 and the first quarter of 1966, the real gross national product rose at a seasonally adjusted annual rate of about 8 pei cent, much faster than capacity, and unemployment declined from a seasonally adjusted rate of slightly over 4 per cent at the beginning of 1965 to around 3 ½ per cent at the end of the year. Although still high by the standards of most other industrial countries, this rate was low in relation to past Canadian experience, and it gave rise to strains in certain regions and sectors, notably construction. The rise in costs and prices, although still relatively moderate, accelerated, and the current external deficit increased again, after having declined steadily since 1959.

Further restraining measures were taken in the March 1966 budget, when it was evident that the expansion was still proceeding at too rapid a rate. The main measures included the annulment of the cut in personal income tax enacted a year earlier and several steps to encourage the postponement of private investment, including the introduction of a temporary and refundable 5 per cent tax on corporate cash flows (profits plus capital consumption allowances) above $ 30 000 and a temporary reduction of depreciation allowances; the authorities estimated that the measures would reduce the rise in GNP in current prices in 1966 from 9 per cent to about 8.5 per cent. Later in the year, the Federal authorities incurred additional expenditure commitments which were offset by cuts and postponement of expenditure elsewhere, and by tax increases in a supplementary budget in December. In the monetary field, credit condition stightened considerably, Bank rate was raised by a further 0.5 per cent in mid-March, to 5.25 per cent and the general level of interest rates continued to rise strongly until late summer.

Following the government restrictions, there was a marked slowing down of the rate of economic growth during 1966, with real GNP increasing at an annual rate of less than 1 per cent between the first and second halves of the year. Government expenditure on goods and services continued to advance rapidly, but official policy was successful in slowing down considerably the rise in private demand. The rapid growth of business fixed investment slowed down. Residential construction fell sharply, reflecting a decline in the availability of mortgage funds; but the decline in housing was not so marked as in the United States. Inventory accumulation, very strong in the first half of the year, fell in the second half. Private consump-

tion, however, increased rather strongly, influenced notably by the sharp rise in wages. With the pressure of demand easing, the unemployment ratio rose somewhat in the second half of the year, but remained below 4 per cent. The rise in prices and costs, however, remained strong, despite some decline in food prices following their earlier sharp increase. The upward movement of non-food consumer prices accelerated, and so did the rise in wages.

(b) *The first half of 1967. Weaker demand tendencies at home*

As in the United States, the movement of demand in the first half of 1967 was heavily influenced by an adjustment of inventories in relation to sales. The adjustment started earlier in Canada, however. There was a marked increase in business inventory accumulation in the second quarter of 1966 when production continued to rise fast whereas the growth of demand slowed down—preceding the similar US movement by about six months. Although inventory accumulation fell in the second half of the year, business inventories remained high in relation to sales at the end of the year. A further adjustment therefore occurred in the first half of 1967. Between the fourth quarter of 1966 and the second quarter of 1967, inventory accumulation fell by an amount representing nearly 1 per cent of GNP. This was much less than in the United States where the adjustment amounted to 2.4 per cent of GNP. Nevertheless, the decline in inventory investment represented an important deflationary influence. At the same time, expansion of final demand continued. This could partly be ascribed to a marked increase in net exports, but was also influenced by fiscal and monetary policies.

While interest rates remained high until December 1966, there was some easing of monetary restraint as early as the summer of 1966, when it became clear that the earlier restrictive measures were working and that the pace of the expansion was slowing down. Total currency and chartered bank deposits, which increased at an annual rate of 3 per cent in the first half of 1966, rose at a rate of 10 per cent in the second half. Loans followed a similar path, and bank liquidity did not suffer from the faster rise in loans; there was even a significant increase in the ratio of more liquid assets to total major assets, with the banks' holdings of government bonds and Treasury bills showing an increase. Government expenditure on goods and services continued to rise quite rapidly in the first half of 1967, and fiscal measures were taken to reverse earlier restraint on private fixed investment. In April, both the refundable 5 per cent tax on corporate cash flow above $ 30 000 and the reduction in depreciation allowances introduced in 1966 were ended. And the Government authorised the Central Mortgage and

Housing Corporation (CMHC)[1] to lend up to $ 300 million to home builders during April and May to boost housing starts; during 1966 such loans had been $ 545 million for the whole year.

The effect of the measures taken, although difficult to measure, was significant, notably in the housing sector. Housing starts rose sharply, and much faster than in the United States, raising investment in residential construction in the second quarter to near the peak reached a year earlier, before the decline began. Business fixed investment levelled off in the first half, continuing the movement apparent in the second half of 1966. Personal consumption increased at a good rate although the savings ratio remained high. Real output in the non-farm economy rose by slightly over 2 per cent at a seasonally adjusted annual rate between the second half of 1966 and the first half of 1967, rather more slowly than the growth of capacity and also less rapidly than earlier[2].

The seasonally adjusted unemployment rate rose from 3.6 per cent in December to 4.4 per cent in June. Nevertheless, despite the further easing of demand pressures, the rise in wages and prices remained excessive.

(c) *Lessons for the Future*

A striking feature of the last two years has been the speed with which policies have been adjusted to changes in business conditions. And in most cases the timing and magnitude of the policy measures adopted was well chosen. One important exception, however, would seem to be some of the policy measures during 1965. Although certain restraining measures were taken at a relatively early stage in the second half of the year their magnitude was too small to prevent an excessive increase in demand. This was a difficult period for economic policy in North America. The strength of the expansion influenced by the Vietnam defence build-up was underestimated both in the United States and Canada.

It may also be argued that, during the period of exceptionally strong expansion from the middle of 1965, the balance between monetary and fiscal restraints could have been better. The fiscal measures taken in the

1 The CMHC was established in 1946. Its major function is to administer the National Housing Act (NHA). The CMHC is authorised to insure mortgage loans made by approved lenders for new home-ownership and rental housing as well as for existing housing. Also, the CMHC may make loans on its own account to provinces, municipalities, non-profit corporations and universities for housing projects.

The CMHC may purchase and sell insured mortgage loans, make loans to approved lenders on the security of mortgages and purchase the debentures of lending institutions.

2 Real GNP showed a somewhat different movement; the corresponding rise in the first half of 1967 was 3 ½ per cent and represented a strengthening compared with the previous half year. However, bearing in mind the preliminary nature of all 1967 GNP estimates, the real output in the non-farm economy as established from the production side seems to be a better indicator of short-term movements in the economy than GNP established from the demand side.

spring of 1966, although important, were taken too late, so that during much of the period the burden of restricting the expansion fell on monetary policy. Even with a more restrictive fiscal policy, however, it would have been difficult to operate a monetary policy in Canada appreciably easier than that adopted south of the border.

As in the United States, the impact of tighter monetary policy was uneven, hitting in particular residential construction. The mechanism that led to this result was very much the same as in the United States. With market yields rising rapidly, the flow of savings to banks and other financial intermediaries slowed down. And the slowdown was particularly marked for the financial institutions providing mortgage funds (trust and loan associations) in part because the extent to which these were able to increase their deposit rates was limited by lack of flexibility in adjusting rates on outstanding mortgages. While the assets of life insurance companies continued to grow, a smaller proportion of the increment was allocated to residential mortgages because of earlier over-commitment of funds.

The decline in residential construction, however, although serious, was less sharp than in the United States. It is possible that, in the summer of 1966, monetary tightness was somewhat less severe than in US markets, since the Bank of Canada offered considerable resistance to a further tightening of credit conditions in Canada. Moreover, the structure of mortgage financing is somewhat different, with the government playing a greater role in Canada. The Central Mortgage and Housing Corporation, financed by the Federal government, normally accounts for about a quarter of the supply of mortgage funds—a larger proportion than its counterpart in the United States (the Federal National Mortgage Association). This was a stabilising factor in 1966, when the proportion was much higher than earlier. Furthermore, the mortgage institutions may also have somewhat more flexibility in adjusting rates on outstanding mortgages than in the

Table 4 **Mortgage Loans Approved by Lending Institutions**
$ million

	1964	1965	1966
Life insurance companies	647	691	459
Trust, Loan and other companies	508	526	306
Chartered banks	9	6	—
Central Mortgage and Housing Corporation	377	461	544
Total	1 542	1 685	1 309

Source: **Statistical Summary, Bank of Canada.**

United States. In the US the interest rate is typically fixed for the full life of the mortgage, whereas in Canada conventional mortgage contracts with individuals can usually be changed every five years.

Nevertheless, the supply of mortgage funds and building starts fell significantly in 1966, particularly in relation to the rapidly-growing need for new housing resulting from high natural rates of household formation and immigration. There may therefore be reason to consider whether anything could be done to achieve a more even impact of monetary restraint. Otherwise, there is a danger that the active use of monetary policy to control the growth of demand may inhibit the maintenance of an appropriate rate of new housing construction.

Certain measures affecting mortgage financing have already been taken. The new Bank Act, in effect since last May, permits chartered banks to make conventional mortgage loans on both residential and industrial construction up to 75 per cent of the value of the property. Previously, banks were excluded from mortgage lending except, since 1954, on National Housing Act mortgage contracts for new residential construction. In the first year of the new Bank Act total conventional mortgage lending by banks is limited to 3 per cent of their deposit liabilities and debentures but lending is allowed to increase by 1 per cent in each successive year, to a maximum of 10 per cent. These measures were intended to attract more funds to the mortgage market in view of the need for a rapid increase in new housing in the years to come, but it is difficult to judge whether the measures will also serve to mitigate fluctuations in the flow of mortgage money as a result of changes in monetary conditions. Since the Bank Act by removing the ceiling on chartered bank loans increased the ability of these banks to compete for deposits with other financial intermediaries who have traditionally held a large fraction of their assets in mortgages, it is not clear if the effect of the Act itself will be a significant increase in the availability of mortgage funds; in 1967, chartered banks increased appreciably their mortgage lending but it seems uncertain whether this would continue to be the case in a period of monetary restraint. The freeing of the National Housing Act interest rate last October, however, should help to increase the availability of mortgage funds in the future. Further action to moderate short-term fluctuations in mortgage financing and residential construction may have to be considered.

But the main lessons to be drawn from recent experience may concern costs and prices. Over the last two years, following several years of stability, costs and prices have risen rather appreciably, and more rapidly than in the United States although recent performance south of the border also has given rise to official concern (see Table 5). Price pressures, which began already to be felt in 1965, strengthened considerably in 1966, with

the GNP price deflator rising 5 per cent and the consumer price index 4 per cent in the course of the year. The price rise slowed down somewhat in the second half of the year, but accelerated again in the first half of 1967.

The acceleration of the price increase in 1966 can to some extent be ascribed to the sharp rise in food prices which was largely caused by factors

Table 5 **Prices**

Per cent change during period based on quarterly data

	1963	1964	1965	1966	1967	1966 1st half	1966 2nd half	1967 1st half	1967 2nd half
GNP deflator	1.7	2.9	3.0	5.0		2.8	2.2	2.4	
Consumer prices	1.6	1.6	2.9	3.9	3.8	2.4	1.5	1.8	2.0
Food	2.6	0.9	4.3	5.2	2.1	4.4	0.8	−0.6	2.7
Non-food	1.3	1.9	2.5	3.4	4.4	1.6	1.8	2.7	1.7
Goods	0.8	0.8	1.2	2.8	3.5	1.3	1.5	2.1	1.7
Services[1]	2.0	4.2	6.4	4.3	6.5	2.5	1.8	4.7	1.8
Shelter	1.9	2.6	2.6	3.6	5.1	1.6	2.0	2.7	2.4

1. Except shelter.

Source: Data from Dominion Bureau of Statistics.

not closely related to the general supply/demand situation. The upward trend in food prices came to an end in the latter part of 1966 and was reversed in the first half of 1967. In the second half of last year food prices rose again sharply. It can be seen from Table 5, that the increase in non-food prices has accelerated throughout the last two years and was particularly strong in 1967.

The rise in non-food prices can be ascribed to two main factors—stronger demand pressures and rising labour costs; other contributing factors were higher indirect taxes and the continuing upward trend in housing rents. Pressures from the demand side were probably the main factor in 1965 and the first part of 1966, as corporate profits continued to rise or remained high in this period (see Table 6). In the year ending mid-1966 the level of demand—as reflected in unemployment, for example—reached a peak, with the unemployment ratio averaging about 3.5 per cent. Moreover, pressures on prices and wages were reinforced by the very fast rate of growth experienced in this period; in the second quarter of 1966 real GNP was 7.6 per cent higher than a year earlier.

Table 6 Corporate Profits
Seasonally adjusted annual rates, $ million

1964	I	4 724
	II	4 914
1965	I	5 076
	II	5 322
1966	I	5 282
	II	5 092
1967	I	4 784

Source: Statistical Summary, Bank of Canada.

Since mid-1966, with the expansion slowing down and demand pressures easing, the rise in labour costs would seem to have been the main factor behind the rise in prices. The upward movement of wages and salaries has accelerated steadily over the last few years (see Table 7). And with the rise in productivity slowing down, the increase in labour costs per unit of output has increased fast, entailing stronger pressure on prices. Despite the faster rise in prices, profits per unit of output have declined sharply (see Diagram 2).

It can be seen from Table 7 that the average annual increase in wage rates in new settlements in commercial industries (excluding agriculture) increased sharply to over 8 per cent in 1966 and nearly 9 per cent in 1967.

Table 7 Wages and Salaries
Per cent increase from beginning to end of year

	1964	1965	1966	1967 Estimates
Manufacturing:				
Average weekly wages and salaries	4.9	5.2	5.4	7-7½
Average hourly earnings	4.5	5.3	6.4	7
Average increase in wage rates during year under existing collective agreement[1]			5.9	6½
Commercial industries, excluding agriculture:				
Average annual increase in wage rates in *new* settlements[2]	4.9	5.6	8.1	8.7[3]

1 Straight-time hourly rates, wage-earners working under collective agreements covering 500 or more persons.
2 Average annual increase during lifetime of new contracts covering 500 or more persons.
3 First nine months of the year.
Source: Canadian submission to OECD.

Collective agreements cover only about one-fifth of the labour force but tend to set the pattern for many non-unionised sectors. Many agreements run for three years. Existing agreements call for considerable increases in the next year or two.

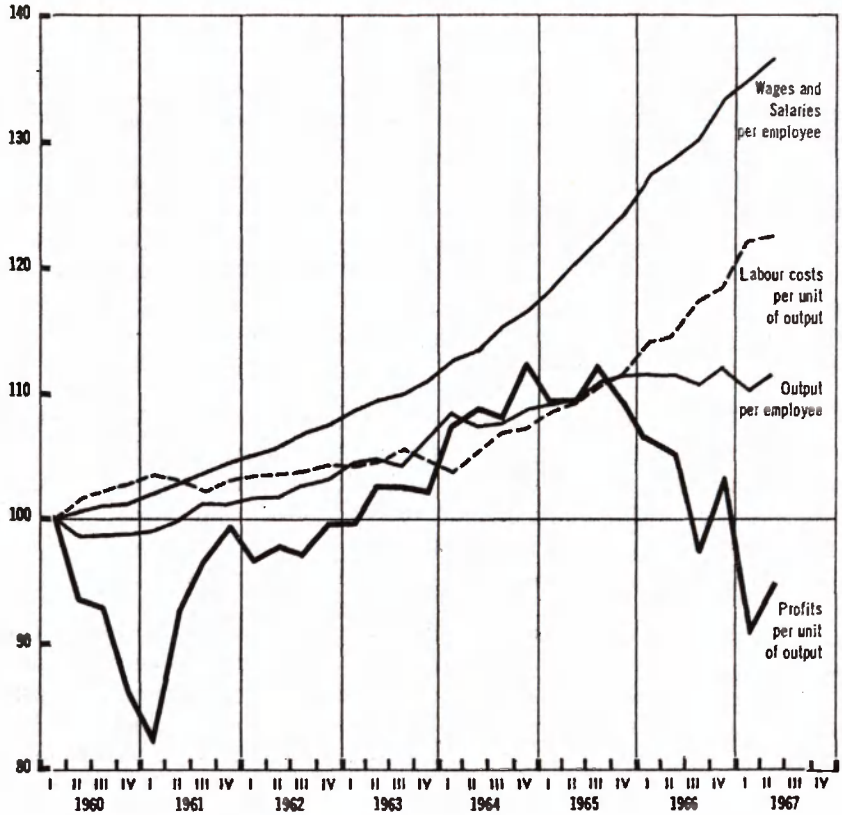
Labour costs per unit of output have risen more rapidly than in the United States, Canada's main trading partner, reflecting a stronger increase in wages and a more modest productivity advance (Diagram 3 shows movements in Canada and United States in wages, productivity and unit labour costs in manufacturing). Developments over the last three years have meant that the competitive advantage for Canadian industry resulting from the exchange rate depreciation between 1960 and 1962 has been reduced. During last year the US performance with respect to cost/price stability has been only a little better than in Canada and this has reduced the rate of relative deterioration in Canada's position vis-à-vis the US.

Recent experience raises the question of the relationship between the level of demand and price/cost performance. On the fact of it, given the strong upward movement of wages and prices over the last two years, the conclusion could be drawn that the pressure of demand prevailing in this period was too high from the point of view of maintaining price stability. But this interpretation may need qualification in several ways.

The high level of demand prevailing in the year up to mid-1966 was no doubt an important element behind the recent upturn in wages, but other factors contributed. The rise in food prices, and more recently housing rents which strongly reinforced the increase in the cost of living, may have played a role. The very high *rate of increase* of demand was probably an independent factor, since shortages and bottle-necks might have been less severe if the advance to the higher level of demand had been less fast. Something also depends on the pattern of demand. In 1965 and 1966 pressures were particularly strong in building and construction—a sector where the constraint on price and wage increases represented by foreign competition is much less than in many other sectors. It is therefore possible that if the advance to the higher level of demand had been slower and better balanced, the price/wage performance might have been better.

Moreover, longer-term influences may also have been a factor behind recent price/wage developments. The rise in wages has entailed some change in the income distribution in favour of labour. This is a feature well in line with earlier cyclical experience. But it is also possible that there has been an element of longer-term adjustment in recent income developments. Profits rose strongly, during the first years of the current expansion, reflecting, in particular, higher capacity utilisation and the exchange rate depreciation of the 1960-62 period. With the advent of full employment con-

Diagram 2 **Labour Costs, Profits and Output in the Non-Farm Economy**
1960 Q[1] = 100 (Seasonally adjusted)



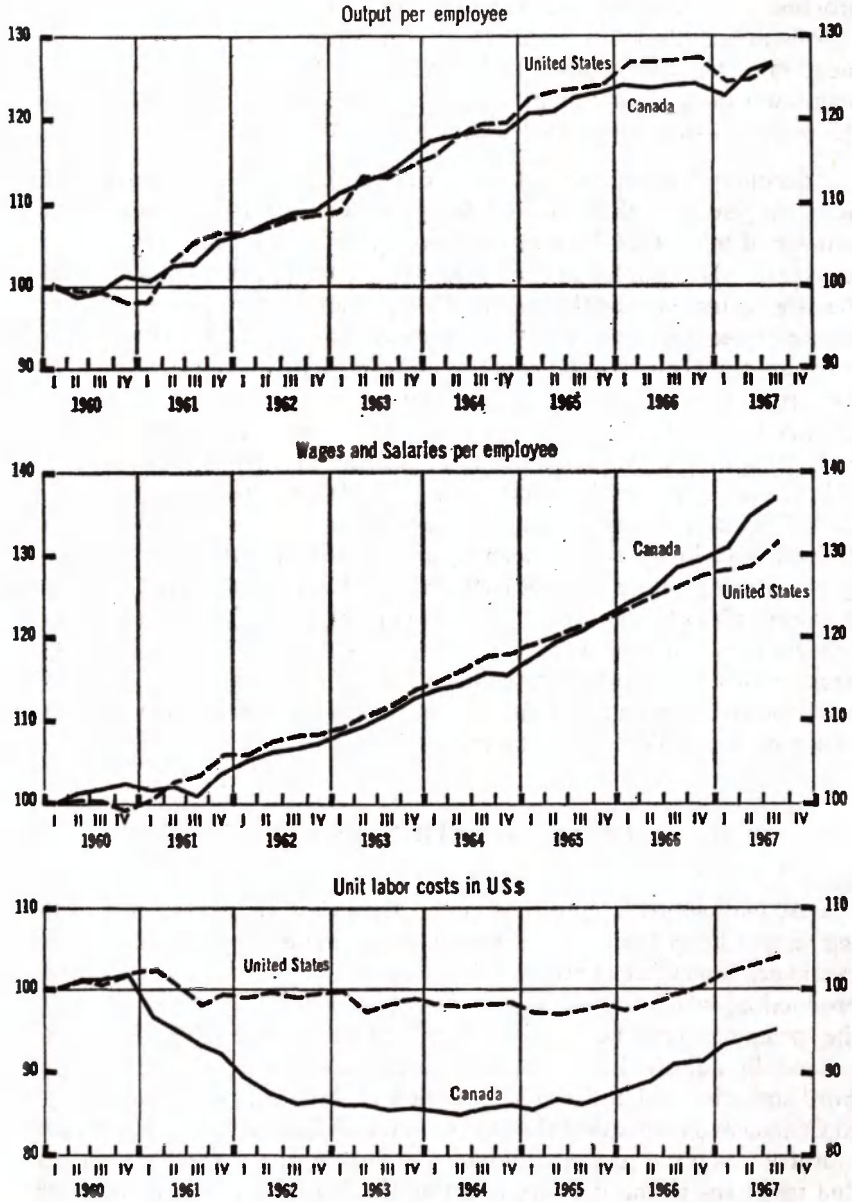
Source: Canadian submission to OECD.

ditions, it may have been difficult to avoid some adjustment of income shares. If so, recent developments may give an exaggerated impression of the pressures on wages likely to be associated with the maintenance of high levels of demand in the future.

In these conditions, it may be difficult to draw any hard and fast conclusions with regard to the relationship between the level of demand and the pressure on costs and prices. Nevertheless, recent experience is a reminder that proper demand management may have to be supplemented by other policies if relatively stable costs and prices are to be maintained. First, further efforts to strengthen the supply side, including measures to strengthen competition, should contribute to better stability. Given the

Diagram 3 **Productivity and Unit Labour Costs in Manufacturing Industry in Canada and the United States**

1960 Q[1] = 100 (Seasonally adjusted)



Source: OECD Statistical Bulletin, Canadian Statistical Review, Survey of Current Business (US).

relatively slow advance in productivity, measures to stimulate rationalisation and efficiency would seem to be of special significance. The authorities also attach great importance to manpower policy, and considerable progress has been made in recent years in improving mobility between regions and skills. But there are still significant disparities in unemployment rates between regions and industries. A further intensification of manpower policy could contribute to avoid shortages, and thereby reduce the wage pressures associated with a given level of overall demand.

Second, Canada's price/wage performance in full employment conditions suggests that there is need for some sort of an incomes policy. A number of other OECD countries have been active in this field in the last few years. No country can point to any spectacular success in controlling the rise in incomes in this way. This perhaps not surprising; given the nature of the problems involved, progress could hardly be expected to be very rapid. There are indications, however, that incomes policy in some countries is beginning to play a useful role. The approach varies from country to country, depending on a number of factors, notably institutional arrangements and the structure, comprehensiveness, and attitudes of trade unions and employers' associations. The decentralised character of the Canadian economy may render the evolution of an incomes policy more difficult than in many European Countries, but this may not be a reason for dispensing altogether with efforts in this direction. As a first step, the authorities are now trying to work out new policies for wage and incomes behaviour which would be consistent with maintaining the competitive strength of Canadian industry. This in itself is an important step, and it could be the forerunner of further measures as the authorities gain experience in this difficult field for economic policy.

II CURRENT SITUATION AND PROSPECTS

Activity seems to have resumed a somewhat faster rate of growth in the second half of last year although the situation is not yet clear as indicators are somewhat mixed and do not give a uniform picture. Industrial production, which fell in the first quarter of last year, turned up again in the spring and grew rapidly at a 6 per cent annual rate in the third quarter (seasonally adjusted). The fourth quarter may have been weaker as the Ford strike in the US led to a disruption of shipments of automobile parts to Canada and consequent shutdowns in the car industry. The construction industry was not a particularly buoyant element in the third quarter partly due to strikes in the industry affecting the Toronto area and there seems to have been a decline in construction activity in the closing quarter. Other less buoyant elements were the closure of Expo '67 and a decline in wheat

shipments. As noted earlier, the real output in the non-farm sector, established from the production side, might be a slightly better indicator of short-term movements in activity than GNP established from the demand side. In the second half of last year, real output in the non-farm, economy may have grown at an annual rate of about 4 per cent, more rapidly than previously while GNP showed a rather weaker increase in the second half than in the first half of the year. The unemployment rate did not change much in the first half of 1967 but in the last quarter it rose to an average of 4.6 per cent compared with 3.7 per cent a year earlier. The rise occurred despite the fact that there was no increase in the labour force between the third and fourth quarter of last year. Adult male employment was practically flat through the whole of 1967. All in all, there are uncertainties concerning the movement of activity during 1967, but it seems likely that the second half of the year may have been stronger than the first half.

The price increase has remained strong but there is some evidence of weaker price rises in certain sectors in the third quarter of last year. Food prices which had declined for three quarters rose sharply in the third quarter and the consumer price index increased at an annual rate of almost 5 per cent, rather faster than earlier. But in construction the rate of advance in prices moderated and prices of machinery and equipment declined for the second quarter in succession due to the removal of the sales tax on production machinery. And after excluding the effects of the tax removal, prices of machinery and equipment increased rather slower than in preceding quarters. The pressure on wages remains strong; increases in major wage settlements negotiated over the first nine months of 1967 averaged nearly 9 per cent a year over the life of the agreements.

The current account of the balance of payments has improved during 1967 (Table 8). On a seasonally adjusted basis the current deficit in the first half-year fell to an annual rate of $ 584 million, about half the 1966 deficit, with services accounting for close to half of the improvement. A decline in travel expenditures abroad and a large rise in receipts from foreign visitors reflecting Expo '67 and other centennial year celebrations, resulted in a large surplus on travel account, the first of any size since the late 'forties. Merchandise exports rose sharply in the first half of 1967; under the impact of the car agreement, exports to the US recorded a relatively large increase, but shipments to other countries also contributed significantly to the performance. Imports were also boosted by the expanding trade in vehicles and automotive equipment with the US; excluding this, imports rose more moderately, reflecting the limited expansion of domestic demand. In the third quarter the current account derived additional strength from a further rise in travel receipts connected to Expo '67, but this was more than offset by a sharp deterioration in the trade balance partly due to reduced wheat shipments. As a result, the season-

Table 8 Balance of Payments - Current Account

$ million

	1961	1962	1963	1964	1965	1966	1966 1st half[1]	1966 2nd half[1]	1967 1st half[1]	1967 3rd qtr.[1]
Merchandise exports	5 889	6 387	7 082	8 238	8 745	10 326	10 020	10 632	11 630	10 620
Merchandise imports	–5 716	–6 203	–6 579	–7 537	–8 627	–10 102	–9 760	–10 444	–11 094	–11 044
Trade balance	173	184	503	701	118	224	260	188	536	–424
Gold production for export	162	155	154	145	138	125	126	124	120	100
Travel	–160	–43	24	–50	–49	–63	–52	–74	286	820
Interest and dividends	–551	–581	–630	–678	–764	–812	–740	–884	–860	–964
Freight and shipping	–82	–86	–85	–35	–93	–69	–90	–48	–54	–60
Inheritances and migrants' funds	–72	–51	–34	–32	5	70	62	78	122	144
Official contribution	–56	–36	–65	–69	–93	–162	–94	–230	–264	–64
Other current transactions	–342	–372	–388	–406	–392	–450	–442	–458	–470	–452
Non-merchandise balance, net	–1 101	–1 014	–1 024	–1 125	–1 248	–1 361	–1 230	–1 492	–1 120	–476
Current balance	–928	–830	–521	–424	–1 130	–1 137	–970	–1 304	–584	–900

1 Seasonally adjusted annual rates.

Source: Quarterly estimates of the Canadian Balance of International Payments (DBS).

ally adjusted current account deficit rose to an annual rate of $ 900 million. In the fourth quarter there has been a substantial recovery in the trade balance which may go a long way to offset the anticipated deterioration in the non-merchandise account with the closing of Expo '67.

With seasonal factors unfavourable in the first half of the year, the unadjusted current balance deficit amounted to $ 578 million. This was financed by an inflow of long-term capital totalling $ 571 million, higher than in the previous half-year but below the level recorded a year earlier. There was an outflow of short-term capital (about $ 60 million) partly due to net movements to the US and UK which were not wholly offset by inflows from other countries. Official holdings of gold and foreign exchange including the net position in the IMF but excluding holdings of currencies other than US dollars declined by $ 68 million; gold sales to the US amounted to $ 54 million. In the third quarter, as seasonal factors became strongly favourable, the unadjusted current account moved into surplus, amounting to $ 201 million. Long-term capital inflows continued but these were more than offset by large short-term outflows, largely in the form of foreign currency bank balances. Reserves rose by $ 56 million in the third quarter and by the end of October stood at US $ 2,570 million as against the level of US $ 2,550 million regarded as working target under the balance of payments arrangements with the United States. At year-end reserves had fallen below this level again to US $ 2,516 million. To help to reduce the reserves, Canada bought about US $ 30 million in June of its outstanding bonds from US residents.

Monetary and Fiscal Development

The easier posture of monetary policy adopted in the summer of 1966 has been maintained last year but it appears that since November monetary policy has become somewhat less actively expansionary. Open market operations constituted an important element of the easier policy; in the first ten months of 1967 the Bank of Canada increased its holdings of government securities by over $ 380 million compared with an increase of $ 240 million in the preceding ten month period. The Bank Rate was reduced from 5.25 to 5 per cent in January and further to 4.5 per cent in April.

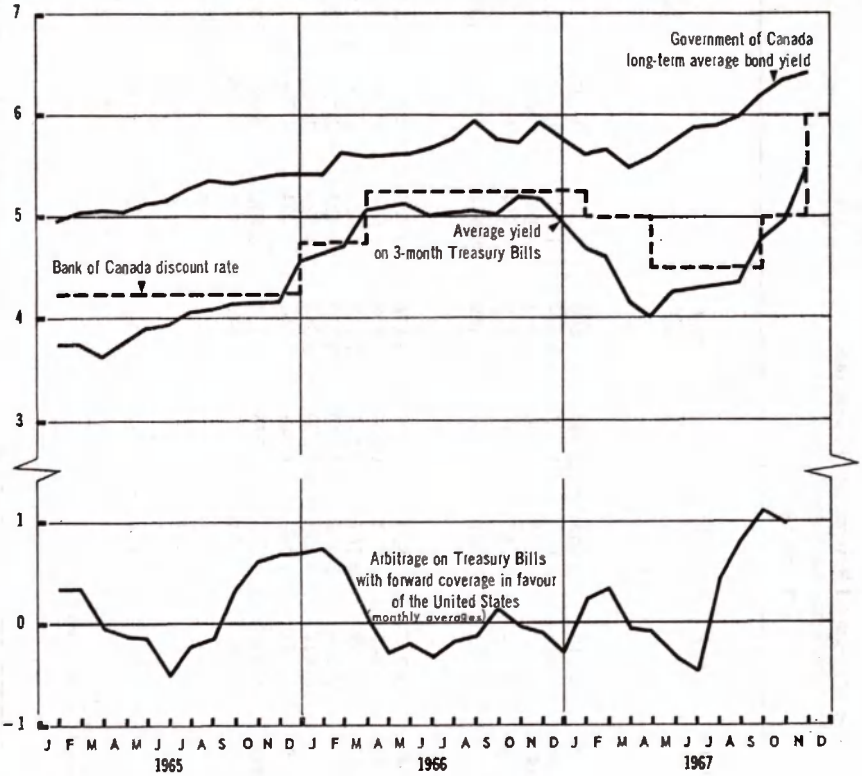
Bank liquidity has increased considerably in 1967 reflecting notably a sharp rise in chartered banks' holdings of government bonds and Treasury bills. And the rate of increase in the money supply (currency outside banks and demand deposits held by the general public) and savings deposits at chartered banks accelerated compared with the previous year. An important factor affecting these measures of money supply has been the revised

Table 9 **Balance of Payments - Capital Account**
$ million

		1961	1962	1963	1964	1965	1966	1966 first nine months	1967 first nine months
A	Current balance (seasonally adjusted)	–928	–830	–521	–424	–1 130	–1 137	–819	–517
	Current balance (not seasonally adjusted)	–928	–830	–521	–424	–1 130	–1 137	–730	–377
B	Long-term capital	930	688	637	820	864	1 024	905	880
	Direct investment	480	400	145	175	410	690	502	350
	Canadian stocks, net	28	–125	–236	–134	–257	–88	–46	–19
	Canadian bonds	319	484	685	831	888	809	757	601
	new issues	504	709	970	1 073	1 216	1 409	1 204	894
	retirements	–246	–289	–324	–324	–383	–497	–359	–251
	trade in outstanding bonds	61	64	39	77	55	–103	–88	–42
	Foreign securities	–35	–65	22	–52	–85	–418	–329	–223
	Other long-term capital	138	–6	21	—	–92	31	21	171
C	Short-term capital	288	297	30	–33	423	–246	–515	–515
D	Change in reserves, IMF position (B + C — A)	290	155	146	363	157	–359	–340	–12
	Official holdings of gold, foreign exchange	229	533	60	86	–11	–462	–452	–17
	Net position in IMF	61	–378	86	277	168	103	112	5

Source: Quarterly estimates of the Canadian Balance of International Payments (DBS).

Diagram 4 **Interest Rates**
Last Wednesday in month



Source: Bank of Canada Statistical Summary, Federal Reserve Bulletin (US).

Bank Act in effect since last May which freed the chartered banks from certain disadvantages. As a result the banks have been competing aggressively for savings and term deposits[1]. Nevertheless, the rather sharp decline in interest rates after the beginning of December 1966 came to an end in last April. Since that time interest rates have risen to levels substantially above their 1966 peaks. Government of Canada long-term bond yields

1 The most important revisions of the Bank Act in this context concern: (*a*) removal of interest ceiling on loans and advances by chartered banks; (*b*) permission for banks to engage in conventional mortgage lending; (*c*) adoption of a split reserve formula with fixed cash reserve ratio of 4 per cent against term and notice deposits and 12 per cent against demand deposits instead of the uniform rate of 8 per cent applicable previously.

Table 10 **Federal Revenue and Expenditure**
National Accounts Basis[1]

$ million

	1964	1965	1966	1965 1st half	1965 2nd half	1966 1st half	1966 2nd half	1967 1st half	1967 3rd qtr.
Revenue:									
Direct taxes: persons	2 558	2 715	2 955	2 740	2 690	2 788	3 122	3 494	3 592
corporations[2]	1 498	1 623	1 642	1 572	1 674	1 642	1 642	1 542	1 576
Indirect taxes	2 847	3 247	3 577	3 106	3 388	3 540	3 614	3 776	3 636
Other income	1 284	1 388	1 547	1 348	1 428	1 514	1 580	1 582	1 816
Total revenue	8 187	8 973	9 721	8 766	9 180	9 484	9 958	10 394	10 620
Expenditure:									
Goods and services	3 046	3 267	3 880	3 168	3 276	3 664	4 096	4 262	4 132
Defence	1 584	1 562	1 713	1 566	1 558	1 638	1 788	1 762	1 904
Other	1 462	1 705	2 167	1 602	1 718	2 026	2 308	2 500	2 228
Transfers to persons	2 239	2 316	2 478	2 320	2 312	2 422	2 534	2 916	2 992
Transfers to other levels of government	1 252	1 427	1 659	1 470	1 384	1 596	1 722	1 946	2 088
Other expenditure	1 354	1 395	1 580	1 318	1 562	1 454	1 706	1 578	1 756
Total expenditure	7 891	8 405	9 597	8 276	8 534	9 136	10 058	10 702	10 968
Deficit (–) or surplus	296	568	124	490	646	348	–100	–308	–348
Canada pension plan[3]	—	—	531	—	—	456	606	678	708
Quebec pension plan[3]	—	—	183	—	—	156	210	218	232
Collections of refundable corporate tax (actual amounts)	—	—	132	—	—	19	113	91	10

1 Half years and quarters are at seasonally adjusted annual rates.
2 Excludes refundable tax on corporate cash profits effective May 1966-April 1967.
3 Funds accumulated are not included in revenue above.

Source: Dominion Bureau of Statistics.

fell to a low of 5.45 per cent in the second half of March but rose rapidly again to about 6.5 per cent in late November. The yield on 3 month Treasury bills fell by over 1 per cent to 3.96 between October 1966 and April 1967 but rose to 5.95 per cent by the end of December. In September Bank rate was raised to 5 per cent in response to upward pressures on short-term interest rates. Following the devaluation of the pound sterling and the consequent rise in the British Bank rate and the US Federal Reserve discount rate from 6 ½ to 8 per cent and from 4 to 4 ½ per cent respectively the Canadian Bank rate was raised to 6 per cent in November. Effective of January 22nd, Bank rate was again increased to 7 per cent in response to pressures which have developed in the exchange market on the Canadian dollar.

The upturn in market yields has been influenced by an important increase in credit demand. The expansion of chartered bank credit was not particularly strong in the first half of last year reflecting lower inventory investment and efforts by corporations to improve their liquidity position by repaying bank loans, but in the second half of the year bank loans have risen strongly again. The volume of funds raised in the capital markets increased markedly. With the non-financial business sector rebuilding liquidities following the decline in 1966, net issues of corporate bonds were at a high level in the first nine months of 1967 but moderated towards year-end. In addition, net issues by the Federal Government more than doubled compared with 1966, and were the highest since 1961. Net issues of provincial and municipal bonds also increased significantly. The rise in interest rates may also have reflected expectations of continued heavy borrowing by the Federal Government and Provinces and of a strengthening of the expansion of activity in the second half of 1967 and in 1968. Expectations of continuing price rises were another contributory factor.

Table 10 shows recent trends in federal finances. On a national accounts basis the Federal budget (excluding the funds accumulated in the Canada and Quebec pension plans and the refundable tax on corporate cash profits) changed to show a deficit in the second half of 1966; the deficit widened in the first half of 1967. Total spending by the Federal Government increased sharply between the first halves of 1966 and 1967, led by a 22 per cent rise in transfer payments to other levels of government, partly in connection with the new fiscal arrangements with the provinces which resulted in larger equalisation payments. Continuing the trend of the last two years, purchases of goods and services also rose rapidly over this period (16 per cent). The relatively slow rise in revenues reflected a fall in corporate tax accruals due to the decline in profits. The rise in Federal spending slowed down considerably in the third quarter as purchases of goods and services declined.

In addition to the stimulative measures taken in the spring (see page 11 and 12) the Federal budget for 1967-68, which was not presented until June[1], was designed to be slightly expansionary. The budget announced the immediate removal of the remaining 6 per cent sales tax on production machinery instead of as from April 1968 as scheduled originally. Together with some other minor tax reductions, the above measure was estimated to reduce revenues by some $ 70 million in the current fiscal year. On a national accounts basis, the rise in total expenditures, although more moderate than earlier, was expected to remain relatively strong (14 per cent compared with previous fiscal year) and a budget deficit was envisaged, the first since 1963-64. The swing in the budget balance would correspond to almost 1 per cent of GNP. Cash requirements, also reflecting higher loans and advances, were expected to rise sharply from about $ 700 million in 1966-67 to almost $ 1 600 million in the current fiscal year.

Table 11 **The Federal Budget for Fiscal Years 1965-68**
National Accounts Basis
$ million

	1965/66	1966/67	1967/68 Forecast
Revenue	9 156	9 998	10 921
Expenditures:			
Goods and services	3 396	3 943	4 271
Transfers to persons	2 334	2 587	3 092
Transfers to other levels of government	1 432	1 706	2 106
Other expenditures	1 418	1 621	1 753
Total	8 580	9 857	11 222
Deficit (—) or surplus	576	141	–301
Memorandum item:			
Cash requirements[1]	160	719	1 593

1 The adjustment from national accounts budget to cash requirements includes among others loans and advances to CMHC, National Railways, Municipal Development and Loan Fund, and the operations of the Canada Pension Plan. The cash requirements are financed by public debt operations and/or reduction of the Government's cash balances.

Source: 1967-68 Budget presented to Parliament, 1st June 1967.

The June 1967 budget had been aimed at providing the necessary mild support for investment expenditures without adverse cost and price effects. The continuing strength of general price pressures, however, and mounting

1 The fiscal year runs from 1st April to 31st March.

difficulties in capital markets, necessitated by late fall that positive restraining action be taken as well. At the end of November the Government proposed new fiscal measures including:

(*a*) a personal income surtax of 5 per cent of the basic income tax in excess of $ 100 with the maximum change limited to $ 600 per taxpayer and effective as from January 1st, 1968. Low income groups would be exempted from the surtax which is expected to yield about $ 25 million in the current fiscal year and $ 185 million in fiscal year 1968-69;

(*b*) higher excise taxes on liquor and tobacco taking effect as from December 1st, 1967, and yielding $ 20 million in the current fiscal year and $ 95 million in fiscal 1968-69;

(*c*) acceleration by two months of tax payments by corporations compared with the present schedule; although not influencing budget receipts on a national accounts basis the speed-up of payments is expected to increase cash receipts (and reduce financing requirements) of the government by about $ 290 million in fiscal 1968-69.

In order to reduce the impact on corporations of the above-mentioned change in the timing of tax payments the Government proposed to make a beginning next June with the repayment of the refundable tax on cash flow collected between May 1966-April 1967 and totalling about $ 230 million. According to the proposal about $ 105 million would be repaid in fiscal 1968-69.

With the proposed higher taxes and important restrictions on government spending programmes the Government expects to hold its overall net cash requirements and its consequent demands on the capital market to less than $ 750 million in the next fiscal year, or less than half of the amount needed in the fiscal year ending March 1968 (apart from unforeseen changes in foreign exchange reserves). Additional costs due to the national medicare programme—if introduced as planned from July 1st, 1968—would be met by higher taxes or reductions in existing spending programmes.

Prospects

In 1968, the buoyant demand conditions likely to prevail in the United States point to a stronger picture in Canada. But the more moderate nature of the inventory adjustment that occurred in Canada and the somewhat weaker outlook for business investment suggest that the resurgence of activity will be less marked than in the United States. Moreover, according to the recent statement by the Minister of Finance, expenditures

of the Federal Government will rise much less rapidly in 1968 than in 1967. While preliminary indications suggest that business investment may be lower in 1968, it is possible that investment plans will be revised upwards in the course of the year. The increase in residential construction should continue even if starts are likely to slow down. Private consumption should continue to rise given the strong upward movement of wages, and the likelihood of some decline in the personal savings ratio, but the advance will be moderated by the rise in taxes. On this basis, the expansion of activity may be relatively moderate this year, probably falling short of the growth of capacity, with some further easing of the pressure on resources.

The labour force is growing rapidly in Canada reflecting strong increases in the younger age groups, growing participation of women in the labour force, and a high rate of immigration. These trends are likely to continue in 1968 but the labour force is expected to rise appreciably less than the high 3.7 per cent increase experienced in 1967. Net immigration may be somewhat lower than in 1967 because of greater emphasis on skills and other qualifications. Given the outlook for demand, employment should continue to grow but the rise may not fully match the growth of the labour force, with the possibility of the unemployment rate averaging a somewhat higher level than in 1967.

Given the easing of demand pressures that has already occurred, there would seem to be reasons to expect a slowdown of the rise in wages and prices in 1968. But there is necessarily some uncertainty about the extent of the slowdown. The fact that many wage contracts concluded in 1966 and 1967 run for three years will serve to maintain strong wage increases also in the next two years, at least in the sectors immediately affected. There is yet little experience of how readily prices and costs will adjust when relatively high levels of employment are maintained in the economy. It is uncertain to what extent enterprises will try to re-establish earlier profit rates. Much will clearly depend on demand conditions. With the persistence of reduced pressure on resources which now seems likely, some moderation of the upward movement of wages and prices could probably be expected.

The current account of the balance of payments is expected to deteriorate in 1968. The trade balance should improve somewhat as exports are likely to be stimulated by stronger expansion in the United States and wheat sales may show a recovery. The rise in imports may tend to quicken in line with the trend of domestic activity. It is likely, however, that both exports and imports of automobiles and parts will expand less rapidly than the exceptionally fast advance realised in recent years. If so, imports and exports may rise in 1968 at rates not very different from those recorded in 1967, with some modest improvement in the balance between them. But

the non-merchandise account will deteriorate. The ending of Expo '67 is likely to mean a return to more normal levels of tourist earnings. Interest and dividend payments to abroad are rising steadily. The current account deficit may well be higher than in 1967. A major element in the financing of the current balance deficit will continue to be borrowing by Canadians in the US capital market.

III CONCLUSIONS

In the last two years, with the trend of business conditions changing quickly, the authorities have on the whole been successful in maintaining relatively high levels of employment while combatting first excesses and then midly recessionary tendencies appearing on the demand side. Both monetary and fiscal policies have been rather promptly adjusted to changing conditions. As in the United States, however, monetary restraint in 1966 had a disproportionate effect on residential construction. There may therefore be reason to consider what could be done to ensure a more even impact; otherwise the active use of monetary policy could impede the maintenance of an adequate volume of new housing construction.

A major and immediate problem facing the authorities in 1968 will be to achieve a better cost/price performance. Labour costs have risen faster than in the United States for some time. There is little indication that the competitive position of Canadian industry has yet been seriously impaired. But a continuation of recent trends with unit labour costs in manufacturing rising by about 5 per cent a year, could soon eliminate the remaining advantage resulting from the exchange rate depreciation in 1960 to 1962. While the US performance in this respect was only a little better in 1967 it would be imprudent for Canada to count on a continuation of this trend. The achievement of better cost/price stability is therefore a matter of high priority with important implications for economic policy.

It might be desirable to allow the pressure on resources to ease somewhat further. It is true that the rise in wages may tend to slow down during 1968 because of the decline in the level of demand that has already taken place. This is uncertain, however. Since there has been a sharp decline in profit margins, there is clearly a danger that corporations may try to restore earlier margins at the first opportunity. Since policy can hardly afford to take any risk of a further sharp increase in costs and prices, prudence would seem to call for some further easing of demand pressures. Given existing trends of demand and the policy measures recently adopted further restrictive action may not be needed in the next few months.

Experience over the last two years suggests that the maintenance of an appropriate level of demand, although essential, may not be sufficient to ensure a satisfactory price/cost performance. There is also need for action to facilitate adjustments on the supply side. Canadian policy has been very active in recent years, particularly in the field of manpower policy. But further efforts will be needed to facilitate mobility, strengthen the competitive forces in the economy, and improve productivity. Moreover, as in other industrialised countries, greater government involvement in the process of income determination could constitute a useful supplement to other policy instruments available for improving the cost/price performance. The official programme for wage and other incomes behaviour which is now being prepared could represent an important step in this direction. But further consideration may have to be given to the development of the institutional machinery of an incomes policy which will be most suitable to Canadian conditions.

STATISTICAL ANNEX

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Table A Gross National Product and Expenditure

Annual figures and annual rates, seasonally adjusted
$ million

	Personal consumption expenditure	Business fixed capital formation				Value of physical change in inventories	Government expenditure on goods and services	Exports of goods and services	Imports of goods and services	Residual error	Gross National Product at market prices
		Total	Residential construction	Non-residential construction	Machinery and equipment						
					CURRENT PRICES						
1960	23 540	6 692	1 443	2 577	2 672	410	6 769	7 008	8 172	40	36 287
1961	24 466	6 635	1 458	2 683	2 494	30	7 236	7 631	8 542	15	37 471
1962	25 926	6 960	1 577	2 638	2 745	532	7 717	8 259	9 082	263	40 575
1963	27 487	7 591	1 707	2 835	3 049	535	8 075	9 111	9 618	243	43 424
1964	29 666	9 103	2 021	3 358	3 724	386	8 654	10 578	10 970	–24	47 393
1965	32 063	10 651	2 124	4 024	4 503	948	9 596	11 265	12 400	–25	52 098
1966	34 840	12 214	2 178	4 811	5 225	995	11 169	13 073	14 280	–273	57 738
1966: 1st quarter	33 956	12 016	2 220	4 788	5 008	988	10 592	12 660	13 548	–240	56 424
2nd quarter	34 112	12 324	2 336	4 832	5 156	1 668	10 872	12 820	13 996	–244	57 556
3rd quarter	35 304	12 000	2 096	4 628	5 276	588	11 648	13 276	14 676	–292	57 848
4th quarter	35 988	12 516	2 060	4 996	5 460	736	11 564	13 536	14 900	–316	59 124
1967: 1st quarter	36 488	12 612	1 928	5 008	5 676	92	11 816	14 508	15 044	–164	60 308
2nd quarter	37 464	12 376	2 360	4 668	5 348	72	12 788	15 064	15 888	–284	61 592
3rd quarter	38 256	11 780	2 576	4 464	4 740	768	12 180	14 140	15 184	–68	61 872
					CONSTANT (1957) PRICES						
1960	22 402	6 231	1 323	2 404	2 504	397	6 268	6 884	8 020	38	34 200
1961	23 105	6 125	1 328	2 494	2 303	29	6 562	7 379	8 132	13	35 081
1962	24 173	6 254	1 395	2 399	2 460	508	6 811	7 747	8 306	242	37 429
1963	25 260	6 618	1 461	2 494	2 663	510	6 848	8 445	8 550	221	39 352
1964	26 846	7 606	1 641	2 830	3 135	354	7 113	9 610	9 632	–21	41 876
1965	28 462	8 534	1 644	3 196	3 694	938	7 571	10 098	10 838	–21	44 744
1966	29 892	9 430	1 605	3 628	4 197	942	8 250	11 345	12 240	–223	47 396
1966: 1st quarter	29 484	9 416	1 644	3 684	4 068	1 004	7 924	11 152	11 708	–200	47 072
2nd quarter	29 292	9 560	1 736	3 664	4 160	1 564	8 148	11 212	12 044	–200	47 532
3rd quarter	30 240	9 248	1 540	3 472	4 236	528	8 600	11 380	12 568	–236	47 192
4th quarter	30 552	9 496	1 480	3 692	4 324	672	8 328	11 636	12 640	–256	47 788
1967: 1st quarter	30 808	9 472	1 376	3 668	4 428	28	8 264	12 464	12 804	–132	48 100
2nd quarter	31 260	9 304	1 648	3 372	4 284	28	8 844	12 876	13 500	–224	48 588
3rd quarter	31 500	8 848	1 784	3 208	3 856	620	8 320	12 004	12 856	–52	48 384

Source: National Accounts, Income and Expenditure (DBS).

Table B **Industrial Production, Employment**
Seasonally

	1961	1962	1963
1 *Indices of industrial production, 1960 = 100:*			
All industries	103.6	112.2	119.7
Mining	102.7	110.6	115.5
Manufacturing	103.5	112.4	120.3
durables	102.2	114.8	124.1
non-durables	104.5	110.5	117.3
2 *New residential construction (thousands, annual rates):*			
Starts	126	130	149
Completions	116	127	128
Under construction	74	76	97
3 *Employment and Unemployment:*			
Civilian labour force (thousands, monthly averages)	6 521	6 615	6 748
Non-agricultural employment (thousands, monthly averages)	5 374	5 565	5 726
Employment indices (1961 = 100):			
Mining	100.0	99.4	97.9
Manufacturing	100.0	103.8	106.1
durables	100.0	105.9	109.5
non-durables	100.0	102.1	103.4
Public utilities	100.0	99.6	100.1
Unemployment (thousands)	466	390	373
Unemployment (percentage of civilian labour force)	7.1	5.9	5.5
Average weekly hours worked in manufacturing	40.6	40.7	40.8
4 *Retail sales ($ million, annual rates)*	16 073	17 094	18 116
5 *Orders and inventories in manufacturing ($ million):*			
New orders (monthly averages)	2 053	2 261	2 430
Unfilled orders (monthly averages)	2 031	2 111	2 333
Total inventories (monthly averages)	4 581	4 799	4 932

Source: **Canadian Statistical Review and Bank of Canada Statistical Summary.**

nd Other Business Indicators
djusted

1964	1965	1966	1966 1st qtr.	1966 2nd qtr.	1966 3rd qtr.	1966 4th qtr.	1967 1st qtr.	1967 2nd qtr.	1967 3rd qtr.
130.9	141.8	153.0	150.9	152.6	152.7	155.9	154.5	156.0	158.0
125.7	132.7	142.8	140.3	144.4	140.3	147.7	147.0	151.3	154.5
131.5	142.7	153.3	151.7	152.7	153.3	155.5	153.2	153.8	155.3
136.8	152.5	164.1	162.6	162.8	164.4	166.6	162.4	162.4	165.3
127.2	134.9	144.7	143.1	144.5	144.4	146.7	145.7	147.0	147.4
166	167	134	169	137	130	125	122	198	178
151	153	162	157	178	172	156	118	137	163
108	120	89	121	99	85	77	86	97	102
6 933	7 141	7 420	7 334	7 389	7 466	7 500	7 616	7 687	7 745
5 979	6 268	6 609	6 517	6 584	6 643	6 688	6 784	6 814	6 857
98.8	105.1	106.9	108.1	108.1	104.3	107.2	108.9	108.6	109.4
111.1	117.2	123.5	122.3	123.2	123.6	124.7	124.5	122.6	123.0
116.7	126.0	134.9	133.4	134.3	135.3	136.6	136.2	132.8	134.4
106.6	110.1	114.3	113.5	114.2	114.2	115.3	115.2	114.4	113.8
101.5	103.9	106.7	105.7	106.6	106.7	107.7	110.8	112.0	110.7
324	279	268	256	260	292	275	286	322	322
4.7	3.9	3.6	3.5	3.5	3.9	3.7	3.8	4.2	4.2
41.0	41.0	40.7	41.1	40.6	40.8	40.4	40.1	40.3	40.4
19 351	20 802	22 089	22 017	21 318	22 362	22 653	22 755	23 327	23 671
2 664	2 885	3 195	3 401	3 089	3 091	3 200	3 033	3 078	3 181
2 692	3 010	3 565	3 366	3 522	3 639	3 732	3 814	3 741	3 823
5 153	5 421	6 297	6 042	6 206	6 400	6 540	6 557	6 635	6 769

	1961	1962	1963
1 *Prices (1960 = 100):*			
Consumer prices, all items	100.9	102.1	103.9
of which: food	101.5	103.3	106.6
non-food	100.5	101.5	102.8
Wholesale prices, all items	101.0	103.9	105.9
of which: raw materials and semi-manufactures	101.4	106.8	108.3
manufactured goods	100.9	102.8	105.0
Farm products	101.9	106.3	104.3
2 *Wages and Profits (seasonally adjusted):*			
Hourly earnings in manufacturing (1960 = 100)	102.8	105.6	109.6
Corporation profits before tax ($ million, annual rates)	3 427	3 819	4 188
3 *Banking ($ million, end of period):*			
Chartered Banks:			
Canadian dollar deposits	14 186	14 699	16 099
of which: personal savings deposits	7 618	7 932	8 443
Liquid assets[1]	2 345	2 362	2 586
Liquid asset ratio (%)[1]	18.31	17.10	17.96
Holdings of Govt. of Canada direct and guaranteed bonds	2 639	2 241	2 660
Total loans	6 878	7 702	8 332
Currency outside banks	1 892	1 981	2 055
4 *Interest rates (% end of period):*			
3-month Treasury Bill yield	2.99	3.91	3.78
Govt. of Canada 3 ¾ % 1996-98 bond yield	4.95	5.07	5.02
5 *Miscellaneous:*			
National Housing Act Mortgage Loans ($ million)	724	584	687
Industrial share prices (1960 = 100)	128	123	132
Security issues ($ million)	2 793	2 733	2 846
or which: Govt., provincial and municipal	2 151	1 740	2 118
Corporate Bonds	255	444	621
Corporate Stocks	245	337	–47

1 Annual figures are daily averages for year, quarterly figures are daily averages of last month in each quarter.

Source: Canadian Statistical Review and Bank of Canada Statistical Summary.

1964	1965	1966	1966				1967		
			1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.
105.8	108.4	112.4	110.9	112.1	113.1	113.8	114.2	115.8	117.7
108.3	111.2	118.3	116.4	117.8	120.4	118.7	117.9	118.0	122.3
104.7	107.2	110.2	108.7	109.8	110.3	111.8	112.7	114.8	115.8
106.2	108.4	112.3	111.7	112.1	112.7	112.8	113.4	113.8	114.4
107.7	110.3	115.8	116.1	115.6	115.4	116.0	116.7	116.8	117.2
105.9	107.9	111.1	110.0	110.8	111.7	111.6	112.2	112.8	113.4
102.7	110.2	114.2	118.2	118.4	110.5	109.4	109.1	109.8	113.1
113.5	119.1	126.4	123.2	124.7	127.5	129.2	131.5	133.1	136.5
4 819	5 199	5 187	5 292	5 272	4 896	5 288	4 656	4 912	5 024
16 697	18 594	20 016	18 429	18 965	19 220	20 016	20 309	20 974	21 818
8 935	9 725	10 248	10 047	10 135	10 388	10 248	10 701	11 128	11 610
2 682	2 903	3 205	3 119	3 137	3 273	3 388	3 603	3 619	3 706
17.20	16.89	17.22	17.32	17.01	17.36	17.38	18.23	17.66	17.48
2 462	2 377	2 337	2 381	2 320	2 338	2 337	2 592	2 683	2 895
9 410	11 549	12 409	11 327	11 623	12 030	12 409	12 745	12 973	13 592
2 183	2 351	2 491	2 279	2 351	2 397	2 491	2 455	2 569	2 667
3.82	4.54	4.96	5.06	5.00	5.01	4.96	4.13	4.28	4.76
5.00	5.24	5.60	5.42	5.46	5.56	5.60	5.43	5.73	6.07
729	782	736	114	152	270	199	236	416	175
161	179	170	182	177	164	156	172	178	185
3 294	2 447	3 907	1 079	807	603	1 417	1 355	1 030	861
1 844	948	2 255	223	403	388	1 242	791	725	711
815	1 271	908	451	218	105	135	236	333	137
319	472	582	134	204	104	140	40	42	78

Table D Governmen

	Federal			
	1961	1962	1963	1964
Tax revenue	5 749	5 893	6 133	7 043
Contribution to social insurance and government pension funds	510	518	534	574
Investment income	409	448	510	570
Transfers from Federal Government	—	—	—	—
Total revenue	6 668	6 859	7 177	8 187
Expenditure on goods and services	2 982	3 025	2 934	3 046
Transfer payments to persons and subsidies	2 227	2 372	2 408	2 516
Capital assistance	6	27	61	82
Transfers to other levels of government	1 128	1 134	1 169	1 252
Interest on public debt	786	866	935	995
Total expenditure	7 129	7 424	7 507	7 891
Deficit (—) or surplus	–461	–565	–330	296

1 First three quarters at seasonally adjusted annual rates.

Source: National Accounts, Income and Expenditure (DBS).

Revenue and Expenditure
million

Government			Provincial and Municipal Government						
1965	1966	1967[1]	1961	1962	1963	1964	1965	1966	1967[1]
7 753	8 377	9 029	3 437	4 256	4 648	5 216	5 973	6 727	7 596
602	681	707	277	294	318	338	357	421	471
618	663	751	717	803	885	956	1 070	1 197	1 353
—	—	—	1 128	1 134	1 169	1 252	1 427	1 659	1 977
8 973	9 721	10 487	5 559	6 487	7 020	7 762	8 827	10 004	11 397
3 267	3 880	4 236	4 254	4 692	5 141	5 608	6 329	7 289	8 025
2 575	2 848	3 308	1 465	1 645	1 751	1 940	2 237	2 635	3 211
84	59	55	—	—	—	—	—	—	—
1 427	1 659	1 977	—	—	—	—	—	—	—
1 052	1 151	1 211	384	439	488	531	583	638	692
8 405	9 597	10 787	6 103	6 776	7 380	8 079	9 149	10 562	11 928
568	124	–300	–544	–289	–360	–317	–322	–558	–531

Table E **Balance of payments 1960-1967**
OECD basis
U.S. $ million

	1960	1961	1962	1963	1964	1965	1966	1967 First three quarters seas. adj. annual rates
Current Account:								
Exports fob	5 980	6 241	6 385	6 983	8 093	8 557	10 070	10 989
Imports fob	5 874	5 804	5 960	6 228	7 115	8 132	9 522	10 440
Trade balance	106	437	425	755	978	425	548	549
Services, net	–1 159	–1 162	–1 058	–1 084	–1 200[1]	–1 315[1]	–1 454	–1 062
Balance on goods and services	–1 053	–725	–633	–329	–222	–890	–906	–513
Private transfers, net	–155	–136	–109	–93	–88	–51	5	59
Official transfers, net	–63	–55	–34	–60	–64	–86	–150	–183
Current account balance	–1 271	–916	–776	–482	–374	–1 027	–1 051	–637
Capital Account:								
Current account (not seasonally adjusted)								–464
Long-term capital	958	918	644	589	776[1]	816[1]	947	1 086
Direct investment	639	474	374	134	162	379	638	432
Basic balance	–313	2	–132	107	402	–211	–104	622
Short-term non-monetary capital and unrecorded	264	117	40	135	219	–15	228	–590
Balance on non-monetary transactions	–49	119	–92	242	621	–226	124	32
Private monetary institutions short-term capital	7	184	133	–114	–250	399	–427	–63
Assets	–312	–609	69	–465	–683	596	–204	–96
Liabilities	319	793	64	351	433	–197	–223	33
Balance on official settlements	–42	303	41	128	371	173	–303	–31
Net IMF position	—	–60	350	–80	–255	–156	–96	–7
Special transactions	—	—	84	—	–35[2]	–35[2]	—	—
Miscellaneous official accounts	1	–2	6	5	–2	10	–31	12
Change in reserves (+ = increase)	–41	241	481	53	79	–8	–430	–25
Gold	–75	61	–238	109	208	125	–105	71
Foreign exchange	34	180	719	–56	–129	–133	–325	–96

1 Data are adjusted to include debt obligations payable by the United Kingdom, but waived.
2 See footnote 1.
Note: Detail may not add due to rounding.
Source: The Canadian Balance of International Payments, Canadian submission to OECD and Secretariat adjustments.

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